

investment because of the free cash flow. Usually it's a company with a huge depreciation allowance for old equipment that doesn't need to be replaced in the immediate future. The company continues to enjoy the tax breaks (the depreciation on equipment is tax deductible) as it spends as little as possible to modernize and renovate.

Coastal Corporation is a good illustration of the virtues of free cash flow. By all the normal measures the company was fairly priced at \$20 a share. Its earnings of \$2.50 a share gave it a p/e of 8, which was standard for a gas producer and a diversified pipeline company at the time. But beneath this humdrum opportunity, something wonderful was going on. Coastal had borrowed \$2.45 billion to acquire a major pipeline company, American Natural Resources. The beauty of the pipeline was that they didn't have to spend much to maintain it. A pipeline, after all, doesn't demand much attention. Mostly it just sits there. Maybe they'd dig down to patch a few holes, but otherwise they'd leave it alone in the ground. Meanwhile they'd depreciate it.

Coastal had \$10–11 per share in total cash flow in a depressed gas environment, and \$7 was left over after capital spending. That \$7 a share was free cash flow. On the books this company could earn nothing for the next ten years, and shareholders would get the benefit of the \$7-a-share annual influx, resulting in a \$70 return on their \$20 investment. This stock had great upside potential on cash flow alone.

Dedicated asset buyers look for this situation: a mundane company going nowhere, a lot of free cash flow, and owners who aren't trying to build up the business. It might be a leasing company with a bunch of railroad containers that have a 12-year life. All the company wants to do is contract the old container business and squeeze as much cash out of it as possible. In the upcoming decade, management will shrink the plant, phase out the containers, and pile up cash. From a \$10 million operation, they might be able to generate \$40 million this way. (It wouldn't work in the computer business, because the prices drop so fast that old inventory doesn't hold its value long enough for anybody to squeeze anything out of it.)

INVENTORIES

There's a detailed note on inventories in the section called "management's discussion of earnings" in the annual report. I always check to see if inventories are piling up. With a manufacturer or a retailer, an inventory buildup is usually a bad sign. When inventories grow faster than sales, it's a red flag.

There are two basic accounting methods to compute the value of inventories, LIFO and FIFO. As much as this sounds like a pair of poodles, LIFO actually